

AI FOR COMMUNICATION & MARKETING — LAB EXAM 1

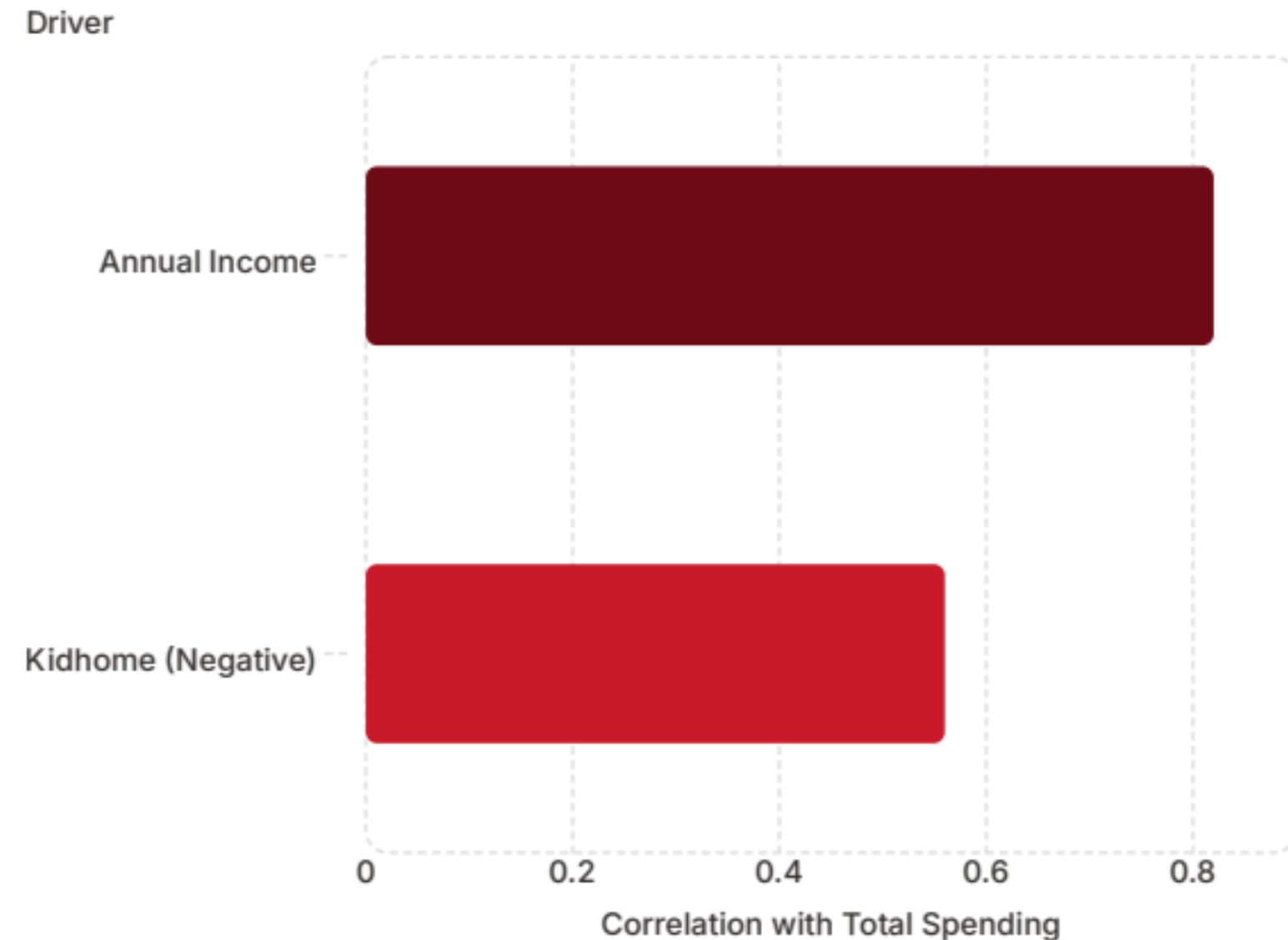
Communication Strategy by Customer Segment

Data-driven segmentation and omnichannel messaging framework for a premium retail customer base — translating machine learning clusters into actionable marketing campaigns.

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The Income Pivot & The Behavioral Paradox

Identifying the Main Drivers of Customer Spending



Annual Income: The Primary Revenue Driver

Annual Income shows a **0.82 linear correlation** with total spending — concentrated in Wine and Meat categories.

Household Dependents: The Negative Value Driver

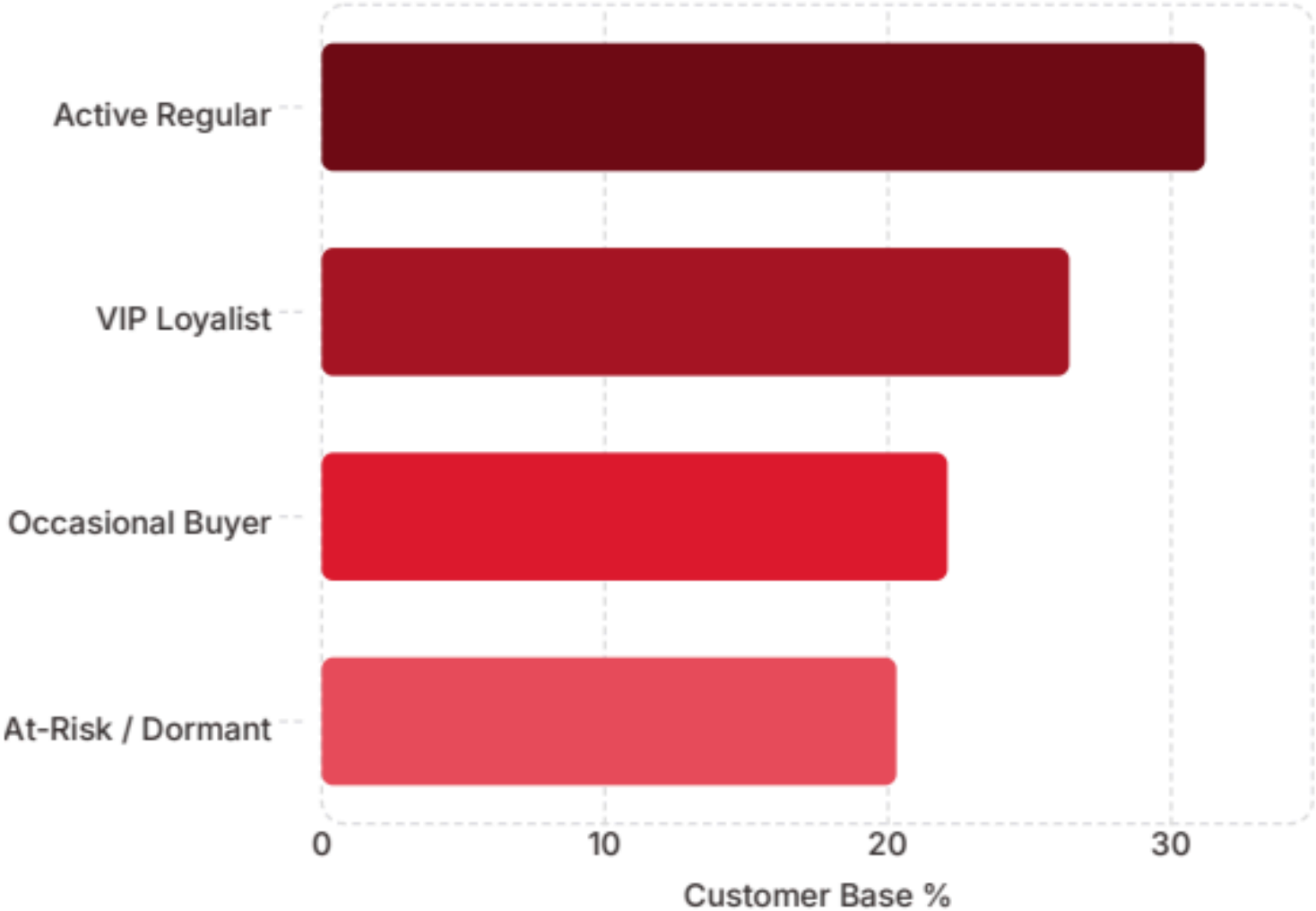
Children in the home (Kidhome) is the strongest negative driver (**-0.56**), compressing premium budgets across all income levels.

⚠️ **Digital Window-Shopping Paradox:** Parents with children log 5.2–6.6 web visits/month yet spend 75–87% less, pivoting to deals (+99% deal purchases).

Strategic Customer Segmentation Matrix

Validating Multi-Dimensional Machine Learning (K-Means at K=4)

Segment



Cluster Profile Highlights

VIP Loyalist (26.4%): ~30 days recency, 15+ orders, €1,100+ value

Active Regular (31.2%): ~50 days recency, 7–10 orders, €400–700

Occasional Buyer (22.1%): Low frequency, €150–300

At-Risk / Dormant (20.3%): 80+ days inactive, under €100

High Alignment

90%+ of top manual spenders map to VIP Loyalist cluster

Latent Resolution

K-Means detects household constraints hidden from rigid RFM rules

Stagnation Pool

577 accounts isolated to prevent wasted win-back capital

Strategic Marketing Execution: Channels & Message Tone

Translating Data-Driven Clusters into Practical Omnichannel Campaigns

Segment	Primary Channel	Message Tone	Campaign Example
VIP Loyalist	Premium Email, App Push	Exclusive, Appreciative	Early access to premium lines
Active Regular	Email, Loyalty Dashboards	Warm, Reward-Driven	Near-milestone loyalty rewards
At Risk	SMS, Remarketing Ads	Urgent, Incentive-Heavy	20% code, 48-hour expiry
Low Value	Bulk Email, Social	Informative, Low-Frequency	Seasonal catalog updates

✔ **Quick Win:** Launch a **"Family Reward Bundle"** with fast-delivery messaging to convert high-traffic family browsers into buyers.